

and change things. Our purpose, 'Rise', is timeless and cannot change. Our culture is a very good mix of being friendly and performance-oriented, [and] that is not going to change," says Shah.

A former finance and consulting veteran with names such as GE Capital and Bank of America, Shah articulates his thoughts in an interaction with *Business Today* at M&M's Worli office in Mumbai. (For the full interview, turn to page 62.) In just two years of him taking charge, M&M's market share in the utility vehicles (UV) segment improved to 18 per cent in FY23 after falling to 15 per cent in FY21 from its peak of 53 per cent in FY12, according to the Society of Indian Automobile Manufacturers (SIAM).

Successful back-to-back launches of the Thar, Bolero XUV700, and Scorpio-N have powered the resurgence. And Mahindra is just getting battle-ready. As M&M rolled out its 900,000th Scorpio SUV in June, Anand Mahindra tweeted to his 10.6 million-plus followers: "This trusty warhorse has always been at our side, ready to ride into battle with us. If it [Scorpio] had flopped, the board would have fired me. So I owe my career to it!"

Today, M&M is the second-largest player in the less-than-4-metre UV segment, with its Bolero, KUV100, Thar and XUV300, which collectively sold 37,009 units in FY23. M&M is also the largest player in the 4-4.7 metre SUV segment, where its Marazzo, Scorpio, XUV500 and XUV700 together reported sales of 28,970 units in FY23. It is No. 1 in SUVs by revenue, with a market share of 19.1 per cent. In FY23, Mahindra's auto business reported ₹59,815 crore in revenues out of the Mahindra Group's total turnover of ₹1.75 lakh crore. How it got here is a testament to the fact that its strategy has worked, but the road ahead is already full of challenges.

FLOAT LIKE A BUTTERFLY...

How did M&M redefine its brand and turn around sales? Part of the success can be attributed to veteran Jejurikar's strategy of expanding the Scorpio, Bolero, XUV and Thar as separate brands under the Mahindra umbrella. The Federation of Automobile Dealers Associations (FADA) says M&M's total retail sales of its automobiles business grew to 320,000 units in FY23, giving it a market share of 8.94 per cent, from sales of 120,000 units and a share of 5.35 per cent in FY21.

"When we launched Scorpio [in 2002], primarily meant for youthful, urban audiences, we needed to start evolving our brand to be more modern. By 2020, our portfolio had moved to being less metro city focussed. We had to make our products modern, aspirational and tech-enabled," says Jejurikar. M&M has done just that over the past three to four years. When bookings for the Scorpio-N commenced in July 2022, it got 100,000 orders in just 30 minutes of the process going live online. With

THE CESS TEST

The GST Council has imposed a compensation cess on all multi-utility vehicles

After the GST Council's 50th meeting recently, Union Finance Minister Nirmala Sitharaman said that in addition to the GST of 28 per cent, a compensation cess of 22 per cent will be levied on the sales of all multi-utility vehicles (MUVs)—this includes sports utility vehicles (SUVs), multi-purpose vehicles (MPVs) and crossover utility vehicles (XUVs). Earlier, only Mahindra & Mahindra's (M&M) core segment, SUVs, attracted the 22 per cent cess, but now MPVs and XUVs, too, will fall under this category. M&M's Marazzo and Bolero are likely to be affected by this move. The Council has defined an SUV as a vehicle with a length of 4 metres or above, with an engine capacity

of 1,500cc and above, and unladen ground clearance of minimum 170 mm. An M&M spokesperson said the firm is evaluating the changes. "We await the official notification related

22 PER CENT

The percentage of compensation cess levied on MUVs

to this change, which should also include the definition of unladen ground clearance and process to measure [this]. Once received, we will approach the certification agency for potential recertification of the relevant models, based on the updated definition, if necessary."

—Perna Lidhoo

